

**Time:** 5 minutes**Outcome:** Distinguish binding and nonbinding floors and analyze surpluses and unintended effects.**Difficulty:**

●●○ Intermediate

Price Floors



THE CORE IDEA

A price floor sets a legal minimum price and is binding only when it lies above the market equilibrium price. A binding floor keeps price from falling to equilibrium, so quantity supplied exceeds quantity demanded and a surplus develops. A floor at or below equilibrium is nonbinding because the market can still reach its equilibrium price.



HOW TO RECOGNIZE IT

- Compare the legal minimum price with the market equilibrium price.
- A floor above equilibrium is binding and creates excess supply.
- At the floor price, read quantity supplied and quantity demanded; their difference is the surplus.
- A floor at or below equilibrium is nonbinding and does not change the market outcome.

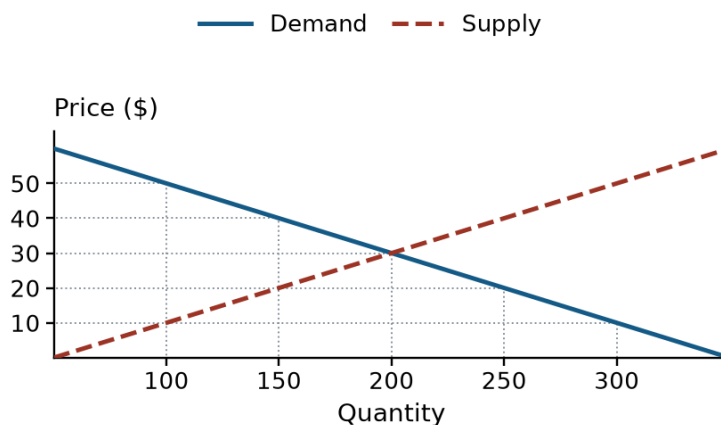


WATCH OUT

A common mistake is to assume that every price floor is binding. Equilibrium is \$30. A floor at \$20 is below equilibrium, so it does not prevent the market from reaching \$30.



WORKED EXAMPLE: BINDING PRICE FLOOR



The market equilibrium is \$30 and 200 units. A binding floor of \$40 holds price above equilibrium; sellers offer 250 units while buyers demand 150. The resulting surplus is $250 - 150 = 100$ units, so some output remains unsold at the controlled price.



CHECK YOURSELF

At a binding price floor, $Q_s = 110$ and $Q_d = 80$. What is the surplus?

**READY?**

Return to the game and master this concept.